

The Trading Gym Manual

BEFORE YOU TRADE PLEASE ASK YOURSELF THESE QUESTIONS

Trading Plan Outline

1. What does your budget allow?
2. What would you be comfortable with losing? (This will help determine questions 3 & 4)
3. What percentage of your profile will be strictly trading?
4. What percentage will be used for investing? (This should be a higher percentage than your trading percentage since trading is much riskier.)
5. What is your target percentage of profit before you close out (execute) your contract? (When building an account, profit is profit. 10-q20% starting out is less risky and more attainable.
6. What expiration date are you looking at and why? (Is it contingent upon Earnings, Release dates, Catalysts? Have you considered that earnings dates can change, release dates can be pushed back, news catalyst can turn negative?)
7. What dollar move are you expecting from this trade based on your chosen expiration date and how does your strike price align with that?
8. How long does it take to go from the top of the bollinger bands to the top and vice versa? (this helps to determine your expiration dates and strike prices)
9. When it goes up, how much does it go up? When it goes down, how much does it go down? (this also helps to determine your expiration dates and strike prices)
10. What are your top 5 stocks that you know intimately? (When they are up and when they are down Home court advantage stocks)
11. What is your limit to the amount of open contracts with different companies? (You can't do your due diligence with too many open contracts. Stick to between 3-5 open contracts)
12. What is your plan when trading the stock? (Are you IntraDay trading using the hourly, 30 min. or 5 minute chart or are you swing trading (selling the next day) using the daily chart? The timeframe you look at is based on your trading plan.

Important Trading Time Frames:

On Mondays 9:30-10am should be your price discovery phase where you're researching the trade you want to make so that you have a better gauge on the direction it will potentially go. Profit taking happens the first 15 minutes in the morning every trading day but it lasts almost 15 minutes longer on Mondays. This makes it hard to determine a true direction so please wait for confirmation. From 10am-11am you can ride the momentum to the upside or the downside. From 11:00-12:30 this is a timeframe where a lot of fake outs happen.

From 12:30-2:30 you'll notice a lot of sideways movement. From 2:30-4:30 momentum will pick up again and then during this time you'll see power hour movement either to the upside or downside. This is all based on market hours so Eastern Standard Time

When to enter a trade?

Pullback:

Pro: better risk to reward because you've already seen how much it can run Con: waiting for a pullback can cause you to miss the momentum or trade

Entry: You would enter close to support on a pullback and set your stop loss slight below it

On a breakout:

Pro: you get to enter at the beginning of the breakout so you don't miss to move Con: could be a false breakout

After sideways movement or consolidation wait until it breaks above the consolidation

Entry: you would want to draw key levels around the range and watch for the price action to trade closer to the high of the consolidation

Question

How much money do I start trading with?

Answer

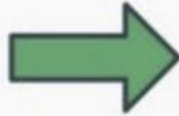
Truthfully, no one can tell you what to start trading with because it's your money and no one knows your financial situation. What we recommend is to trade with whatever you're comfortable with losing and that is completely up to you. Another thing to keep in mind is that the cheaper the stock, the cheaper the option.

STOP LOSSES !!!

Set your stop-loss order for whatever % you're comfortable with losing below the price at which you bought the stock will limit your loss that designated percentage.

Order Types Explained: Market, Limit, GTC, Stop-Loss

Market Order



Market orders guarantee immediate fills, but not the fill price. As a result, fill prices when using market orders can be unfavorable.

Limit Order



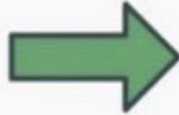
Limit orders are used to execute trades at a specific price or better. Fills will not occur until the asset can be filled at your specified price or better.

GTC Order



Good-Til-Canceled (GTC) orders are limit orders that remain in place until the order is canceled or the trade is filled at the specified price.

Stop-Loss Order



Stop-Loss orders are limit or market orders that automatically execute when the asset reaches a certain price.

WHY IS MY ORDER STILL PENDING OR HASN'T GOTTEN FILLED YET

This is how the market works: a market order executes immediately because it means you want to purchase at the current market price. However, a **limit** order (which is where you bid and set a limit to what you want to pay) may or may not get filled because maybe the price ran up and no one is **willing** to sell that low. The workaround to this is if the price falls to your bid price then your order may get filled.

Question

Which brokerage do you/ should I use?

Answer

I personally use IG London.

You can use Interactive Brokers, Webull, Saxo Bank, Charles Schwab. What is “Quad

Witching?”

The actual definition: Quadruple witching refers to a date on which stock index futures, stock index options, stock options, and single stock futures expire simultaneously.

How it affects traders: due to the uncertainty of how the market **will** react most traders close out of their positions in a very volatile manner so the market can sometimes turn bloody red and a lot of people may lose money during this time.

The market turning bloody red may not always be the case but it's better to be safe than sorry so try to **limit** your trading and/or positions. (go back and look at the stock you're interest in trading during QW to see how it **typically** performs.) Indexes and options expire at the same time the third Friday of every March, June, September and December. Please check **historical data** to get an idea for how the market **typically** reacts during this event.

Although it says the 3rd Friday, traders **sell** way sooner to prevent from losing money. There is no specific date on when the effects of it **will** start or end. It could be days to a few weeks. Just pay attention to the market sentiment.

Mr. Z.M is saying, Friday is profit taking day, because those guys wanna go long in some clubs or buy a new Rolex or what ever.

We don't know when investors will start to pull money out of the market for QW or when they will reinvest. So there is no way to know when the effects of QW **will** truly start or end. Just manage your account|risks

What is the Santa Claus Rally?"

A Santa Claus rally is a calendar effect that involves a rise in stock prices during the last 5 trading days in December and the first 2 trading days in the following January.

Let's talk risk management a lot of you may not be utilizing proper risk management. You don't risk your whole premium to only make 20%.

So what does proper risk management look like?

One way of proper risk management would be utilizing the 2 to 1 or 3 to 1 ratio.

So how that works is let's say you decide to use the 2 to 1 ratio. You would come up with how much your **willing** to risk and then times that by 2. So if you're risking 30% then your reward should be 60%.

If you're using the 3 to 1. It'd be risking 30% for a reward of 90%.

This is a great way to help keep the emotions out of trading and understanding when you'd cut your losses but also when you'd take profit.

If you are new to trading

I would strongly recommend paper trading first before trading with your real

money until you have a good understanding of the basic fundamentals and technicals of trading options.

So what is Paper trading?

Paper trading is a simulated market environment in which the participant uses fake money, rather than real money at their brokerage.

Pros of paper trading

It costs nothing, and you can't lose money with bad decisions or poor timing. It also allows you to observe all of the flaws in your analytical process so you can begin the arduous task of building a well-defined trading edge.

Trading can evoke emotions of greed and fear, often blinding a trader to key information needed for effective risk management. Paper trading bypasses the emotional aspect of trading, so the new participant can focus on practicing strategies and chart reading.

The trader gains experience in every element of the trading process, from pre-market preparation to final profit or loss taking. When accessing the broker's simulator, they learn how to use real money software in a relaxed environment, where the wrong keystroke won't trigger a financial disaster.

Paper trading for several weeks up to a month builds confidence about the new strategy and market approach.

The two main types of brokerage accounts are cash accounts and margin accounts. Cash account (trading with your money) requires that all transactions must be made with available cash or long positions. Margin accounts (trading with borrowed money) allow investors to borrow money against the value of the securities in their account.

If Someone calls out a play and alerts an average cost (premium) of 1.50

And you're late entering, or you chase the trade and enter at a higher average cost/premium like \$2.00. You've essentially paid \$50 more than they did (Remember you have to multiply everything by 100 with option contracts). Or for commons .50 per share.

So for the person who called it out, if the stock ran up to \$2.00 they have now made \$50. And if the stock reverses they may be able to secure profits.

However, you may be at a loss because you paid more to enter the trade. What do

“entries/entry” mean?

The entry is relative to the stock's price. Basically meaning what was the stock's price at when you entered your contract. When you enter matters. Example: Let's say a trade is alerted at the beginning of the day and is profitable until

midday before it reverses. Then you decide to get in once it reverses, because the entry is now the same as when it was originally alerted. You may get the same entry price, but the volume, or even market conditions, during that time may have changed, yielding a different result in profit. This is why it is so important to know how to read charts. And why its just as important to monitor the charts before you enter a trade and during the time you're in the trade.

You may never be spot on with the entry that is called out but you don't want to be significantly off, consider this example \$.05 off is only \$5 but being \$.50 off means you're \$50 off.

Lets talk about how small wins add up and compound

No matter how small your win is they add up over time let's do a month for example.

Let's say you start off with a small account of 500 you only risk 40% of your account at a time and you trade Monday-Friday. As well as you get on average 20% wins everyday for the week.

if you have a cash account it allows you to have unlimited day trades AS LONG AS you have SETTLED FUNDS. (If you make a trade and then sell you have to wait a day for those funds to settle)

1st week $500 \times .40 = 200$ (amount risked to trade everyday)
 $200 \times .20 = 40$ profit per day
 $40 \times 5 \text{ days} = 200$
 $200 + 500 = 700$

2nd week $700 \times .40 = 280$ (risk amount) $280 \times .20 =$
56 profit per day
 $56 \times 5 = 280$
 $280 + 700 = 980$

3rd week $980 \times .40 = 392$ (risk amount) $392 \times .20 =$
78.4 profit per day
 $78.4 \times 5 \text{ days} = 392$
 $392 + 980 = 1372$

4th week $1372 \times .40 = 548$ (risk amount) $548 \times .20 =$
109.6 profit per day
 $109.6 \times 5 \text{ days} = 548$
 $548 + 1372 = 1920$

So after one month you have an account size of 1920 which is basically a 384% roi

Instead of shooting for those home runs let those base hits add up. It's like rolling a snow ball down a snow mountain.

It will also build your confidence. How to

find companies to trade

1. Some traders think of companies that they're already a consumer of, then they learn to chart and trade with those companies
2. Some traders use earnings calendars like EarningsWhispers or OptionSwing and play earnings. (I don't recommend this method because it's similar to gambling but it's all up to the trader)
3. Some traders use stock screeners like Benzinga, YahooFinance, Flowalgo, MarketWatch, Scanz or Finviz to search for stocks to trade once they meet certain criteria. Ultimately you have to decide what works for your trading style.

Just remember the cheaper the stock, the cheaper the option and vice versa. Market order vs.

Limit order

Market order = whatever the current "going rate" is for the stock at that specific moment. this order will execute immediately because there is no negotiation on the price involved

Limit order= the trader sets a **limit** to what they are **willing** to pay to enter the contract and not a penny more. This order requires the stock to meet your **limit** amount (kind of like negotiating a price) in order for it to execute.

Which may not happen if the stocks price is going up, or it may take time for the price to reverse to meet your **limit** amount.

Good Faith Violations

What are Good Faith Violations (GFV)

A good faith violation (GFV) occurs when a cash account buys a stock or option with unsettled funds and liquidates the position before the settlement date of the sale that generated the proceeds.

What happens when you get a GFV

After the 2nd GFV occurs, the account's buying power will be restricted to settled funds.

Selling positions will no longer increase buying power until it settles (T+2). After 4 violations, your account will be restricted for 90 days. This rule may vary between brokerages.

The difference between today's return and total return

Today's return means the return for the current day whether it's positive or negative

Total return means the total return for the entire time you've held the contract

Example: So if you have a positive day on Thursday that reflects +30% and then Friday you're down -10% it will look like this

Today's return -10%

Total return + 20%

What Can Help Determine Price Targets (PT)

Price targets are determined by key levels of Resistance for Bulls, and Support for Bears. If it approaches a key level you would want to use that as your reference to take profit. You can have multiple price targets.

Example, a run up may blow through an area of Resistance and continue to ascend to its next level of Resistance. At this point, you may take some profit/scale out at the first level of Resistance and leave some runners for the next level. YOU CAN ALSO DETERMINE PRICE TARGETS BY STUDYING THE STOCK AND SEEING WHAT TYPE OF MOVE ITS CAPABLE OF CONTINGENT UPON THE TIME IN WHICH YOU CHOOSE TO HOLD If all else fails, look for analysts price targets on platforms similar to MarketWatch.com

RSI, Stochastic Oscillator, MACD, Exponential Moving Averages, and the Bollinger Bands

When to take profit and where to set stop losses:

When to take profit:

You would want to draw key levels and take profit around those key levels. If you have time on your side you can always scale out of your position and leave some runners. You want to take profit when you are in profit not when the stock reverses on you.

Where to set your Stop loss:

Stop losses are based 100% on your own personal risk tolerance so decide what percentage you are comfortable with losing. You would also want to focus on whether it breaks key levels and set your stop loss slightly below that key level.

When we speak of key levels, in most cases this means SUPPORT and RESISTANCE

THE BENEFITS OF AVERAGING DOWN

Sometimes when trading options a stock may reverse which gives you an opportunity to buy more contracts (same strike and expiration) at a lower rate. What this does is lowers your average cost. So what you can do if you're down really bad is spend money to lower your average cost basis and once the stock moves up just a **little bit** you may become profitable and exit the trade or you can average all the way down into a break even point or to profit. So you can actually average down into profit which may be expensive but it works. Or you can average down just to lower your overall cost basis. On the downside of averaging down- averaging down still COSTS MONEY, and if the trade does not take off in the correct direction this will result in you losing more money.

Averaging then is only a good move when you have a HIGH CONVICTION that the trade will work out in your favor. You also have the option to exit the trade completely and re-enter when the chart deems a higher probability set up.

Use this calculator to help you determine what quantity you need to purchase to average down:
<https://www.symbolsurfing.com/average-down-calculator>

How Volume and Price Action can be used to determine the strength of an uptrend or downtrend

Volume is counted as a total number of shares that are traded bought and sold during the trading day or a specific period

Volume is a good indicator of market strengths and weaknesses and can also be used to confirm the strength of a trend

A few tips for interpreting price action using volume is when you see the price is up and the volume is up that indicates a strong uptrend

When you see the price is down and the volume is up that indicates a strong downtrend

When the prices up and the volume is down that indicates a weak uptrend or a sign of reversal

When the price is down and the volume is down that indicates a weak downtrend or a sign of reversal

Charting Timeframe Example: (based on trader preference)

For IntraDay Trades I start with the 15 min then scale down to lower timeframes. For Swing trades I look at the daily, 4 hour, 1hr etc. For longer holds I look at the week and scale down. Always look at the macro view and

then scale down to the micro view for your entry. The idea is to start close to the timeframe of how you choose to hold and then scale down for your entry.

Bullish vs. Bearish Signals using the 20EMA and 200EMA

If the 20ema crosses 200 to the upside then this is a Bullish signal. If the 20ema

crosses 200 to downside this is a Bearish signal.

When to enter a trade?

Pullback:

Pro: better risk to reward because you've already seen how much it can run Con: waiting for a pullback can cause you to miss the momentum or trade

Entry: You would enter close to support on a pullback and set your stop loss slight below it (or the opposite of your doing Puts)

On a breakout:

Pro: you get to enter at the beginning of the breakout so you don't miss to move Con: could be a false breakout

After sideways movement or consolidation wait until it breaks above the consolidation (calls) or below(puts)

Entry: you would want to draw key levels around the range and watch for the price action to trade closer to the high of the consolidation (highest-high of the consolidation, or the opposite of your doing Puts)

How many open positions should you have at 1 time?

Most experienced traders would advise new traders just starting out that you should be in no more than 3-5 trades at one time. The reason why is because the more open to trades you have the more you are exposing yourself to risk. It is best to find a few quality trades and have a higher win rate, than to be in multiple trades which typically yields a lower win rate. Over-trading can cause you to have one successful trade on one end and then another one that is essentially eating the profit of that successful trade, which will still result in a loss. In addition to this, you also have to consider the fact that you have to do your due diligence on each position you're in, before and during, the time in which you are holding the contract. It will be difficult to do due diligence on a large number of open positions.

WHAT IS A STOCK SCANNER/SCREENER

Stock scanners/screeners are tools that allow you to be able to sort through thousands of individual stocks to find those that fit your trading criteria to speed up your research. These tools are typically free to use on most brokerage sites like thinkorswim but there is also some subscription based scanners.

Thinkorswim, Scanz, Finviz, Tradingview, trendspider etc. There are tutorials on youtube for scanners.

WHAT IS PATTERN DAY TRADING (PDT) AND HOW TO AVOID IT?

A pattern day trader (PDT) is a regulatory designation for those traders or investors that execute four or more day trades over the span of five trading days.

Day trading means that you are buying and selling within the same trading day. (If you buy two of the exact same contracts and sell one in the morning of the same trading day, then you sell the other one at the end of the same trading day, it still counts as 1 day trade.)

What happens if you break the PDT rule?

You could be limited to closing out your positions only. And your margin buying power may be suspended, which would limit you to cash transactions. If you make an additional day trade while flagged, you could be restricted from opening new positions for 90+ days depending on the brokerage.

HOW TO AVOID THE PATTERN DAY TRADING RULE

Open a brokerage account with Webull or ThinkOrSwim, Opt for a Cash Account, Deposit funds and enjoy unlimited day trades!

WHAT DOES IT MEAN TO "PLAY EARNINGS?"

All publicly traded companies are required to report their financial information once per quarter. Once reported, this information is revealed to the stakeholders of the company which details the financial position that the company is currently in. Earnings outline key metrics like Earnings Per Share (EPS), Sales (revenue), and the future outlook of the company (growth).

How traders play earnings

Traders retrieve calendars from websites or social media pages like EarningsWhispers or OptionsSwing to see who is preparing to report earnings in the upcoming week(s). Then traders will research the company to see the overall likelihood of the company beating (outperforming), or missing (underperforming) earnings and then enter contracts for CALLS or PUTS based on their analysis.

BE CAREFUL, sometimes earnings can be a bit of a gamble because you never know what to expect. Sometimes a company can beat earnings and the price still falls, or maybe the expected run-up is already baked in, there may be a delay in the run-up, or maybe the run-up happened weeks before the anticipated earnings. Then there is always the possibility that the earnings date may change or the company may have missed earnings when you thought that they would beat earnings or vice versa. All of this should be factored in when playing earnings. My recommendation is that if you do plan to play earnings, only trade with what you're willing to lose.

THE DIFFERENCE BETWEEN (INTRA)DAY TRADING, SWING TRADING AND INVESTING

Day trading means that you are buying and selling within the same trading day. (If you buy two of the exact same contracts and sell one in the morning of the same trading day, then you sell the other one at the end of the same trading day, it still counts as 1 day trade.)

Swing Trading means that you are holding your position or contract for more than one trading day.

Investing means that you are holding long term. For some investors that can be weeks, month, years, etc. it just depends on their individual trading plan.

WHAT DOES "SHORT SELLING" MEAN?

Short selling is when an investor profits from a decrease in the stocks price. The downside to this is that since a stocks price can just increase forever, for that same investor their losses can be infinite. One main reason investors use short selling is because they speculate the price of a stock falling or they may use it to hedge their long position.

How does short selling work?

Step 1: The investor borrows share from the lender.

Step 2: The investor turns around and sells the shares within the stock market. Step 3: If and When the price of those shares drop, the investor buys the shares back for a much cheaper price within the stock market.

Step 4: Then the investor who borrowed the shares returns the shares back to the lender.

WHAT DOES A "GAP" MEAN IN TRADING?

A "gap" is a significant difference in the opening price of a candle compared to the closing price of the previous candle. The way that it looks someone's on a chart is like a huge space, jump or gap between candles. It can also look like a long range Candle where it seems to have covered a long range of prices.

Gaps are typically respected and the price action will eventually come back to fill those gaps.

Gaps in price move very fast, in most cases, to the upside or downside and normally leave no support or resistance to confirm that this move is about to take place.

What are Futures And Why People Check them

Futures are open 23 1/2 hours 6 days a week with two brief breaks accounting for the half hour they are not open meaning they are open when the stock market is closed. So from Sunday afternoon til Friday afternoon there is basically nonstop trading.

Traders can buy or sell futures contracts for the major U.S. stock indexes, which is simply betting on the future value of those assets. If S&P 500 futures are down, that suggest traders think the index itself is going lower than where it is. If it is up that suggest traders think the index itself will go higher. A huge price swing that occurs in the stock market is often foreshadowed by futures trading, which is why you should also pay attention to Futures.

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WHAT ARE "LEAPS"?

Long-term equity anticipation securities (LEAPS) are publicly traded options contracts with expiration dates that are longer than one year, and typically up to three years from issue. They are functionally identical to most other listed options, except with longer times until expiration.

What Is a Bid-Ask Spread?

A bid-ask spread is the amount by which the ask price exceeds the bid price for an asset in the market. The bid-ask spread is essentially the difference between the highest price that a buyer is willing to pay for an asset and the lowest price that a seller is willing to accept. An individual looking to sell will receive the bid price while one looking to buy will pay the ask price.

When the bid and ask prices are far apart then we consider that to be a wide spread. A wide spread exists when the stock is not being actively traded and it has low volume. This means the number of contracts being traded is lower than usual.

Consider this example: if there is a \$.05 spread between the bid and ask, and you wanted to hurry up and get out of a trade but there are no willing buyers at your “ask” amount, then you would automatically lose five dollars just to exit the trade to sell at the bid.

What is Short Selling & Short Squeezes? Short Selling is a fairly simple concept—an investor borrows a stock from broker (fee accrues every day—typically an annual percentage), the goal is for the borrower to buy the stock when there is a drop in the price, and then return the back to the lender in hopes of making profit off of the difference in price. Short sellers are essentially betting that the stock they borrowed will eventually drop in price.

(So for example, if they borrow the stock at \$50 and then it drops to \$40 the borrower will then buy the stock at \$40, then return the shares to the lender making a \$10 profit.)

When a stock has a high short float % it's more prone or susceptible to short squeezes. A short squeeze is when a stock gets some type of upward momentum whether it's from a positive catalyst or even a technical breakout. This forces the shorts to cover/buy their shares back in hopes of driving it higher. So there is a push from people buying and from people covering.

With a high short float there will be quick movements to the upside (somewhat parabolic), because with upward momentum. The shorts begin to panic and try to cover the position. In addition to this you also have people in the market who are just buying anyways. This could be considered a short-squeeze.

A "Float"- is exactly what it sounds like, how many share are floating out there? How many shares are easily available to trade that are not locked up? the amount of tradeable shares of that company that you can purchase.

Short Float- is the % of that float that is “short”

What Time Frames Should You Use When Trading Timeframe Continuity (4 major time frames/ Participation groups)

If you are a long term investor you start with the chart that shows the overall trend and then scale down to lower time frames for entry/targets which is the Year > (Quarter > Month) > Week.

If you are a Swing Trader you start with chart that shows the overall trend and then scale down to lower time frames for entry/targets which is the Month > (Week > Day) > 1 Hour

If you are a Day Trader you start with the chart that shows the overall trend and then scale down to lower time frames for entry/targets which is the Day > (4 Hour > 1 Hour) > 15 Min.

*This is a guide, this can be altered based upon your personal preferences as a trader.

WHAT ARE REVERSE SPLITS AND HOW DO THEY AFFECT OPTIONS CONTRACTS OR COMMONS?

While a forward stock split adjusts the price of an option's underlying security, the contract is adjusted so that any changes in price due to the split do not affect the value of the option. This is typically bullish.

A reverse split results in the reduction of outstanding shares and an increase in the price of the underlying security. The holder of an option contract will have the same number of contracts with an increase in strike price based on the reverse split value. This is typically bearish.

What you may notice during a reverse split:

If you own options on a stock that executes a reverse stock split, a merger, or a spinoff, you'll notice a few things like the stock ticker will have a number added to it, for example AAPL1. You may be able to see this new ticker in the app unless you owned the option before the corporate action/split. You won't be able to buy this new ticker (AAPL1), but if you own it as a result of a corporate action, you can sell or exercise the options contract.

EXAMPLES:

#1 If you own an options contract for AAPL, and AAPL executes a reverse split, after the reverse split your new ticker will be AAPL1.

#2 If AAPL executes a 1:5 reverse split, the number of shares in the contract will decrease from 100 to 20.

What are the disadvantages of a stock split?

Once share prices drop after a split, more impulsive selling is common. As these frequent traders buy and sell the shares, they impact the stock's price and may increase its overall volatility. To combat this, some companies prefer to keep high stock prices where they are rather than splitting their shares.

Can You Be A Profitable Trader And Still Work A Full Time Job? The answer is "Yes."

It is important to consider your lifestyle and the amount of time you have to available to dedicate to trading.

Example: if you work crazy, hectic hours maybe you should consider only taking trades with longer expiration dates. This would put you in the category of a

LEAPster or Swing Trader. This way you are not stressing over not being able to monitor your account, you're less impacted by theta decay, and you have more time to recover from any potential reversals so your losses are minimized. (But even with a full-time job you can still day trade. Maybe you have to adjust to only trading during your lunch hours. Meaning that you're entering and exiting trades before your lunch hour is over)

If you have a less hectic lifestyle that gives you the ability to monitor your account at will then you have the option to be a Scalper, Day Trader, Swing Trader or even a LEAPster.

NYSE & NASDAQ Trading Halts

Where to view current halted tickers:

<https://www.marketbeat.com/market-data/trading-halts/> A trading halt is a temporary suspension of trading in a particular security on the exchange. When trading is halted on a company, it is typically for one of two reasons: ... The security is halted for non-compliance of the exchange's listing requirements, such as filing of financial statements or payment of listing fees.

You can't buy or sell during a halt

A can happen a few times a day per security if FINRA deems it, usually lasts for one hour, but is not limited to that. More commonly, it only lasts for 5-15 minutes. Trading halts can happen any time of day.

MarketBeat.com

NYSE and NASDAQ Trading Halts

View a list of recent trading halts on the NYSE and NASDAQ due to pending news releases and rapid price changes.

WHAT EXPIRY I TRADE?

For Individual names it is always this weeks expiry on FRIDAY. Everything expires on FRIDAY so it is the nearest expire date ALWAYS unless notified.

For indices it will always be ODTE unless specified . Abbreviated

Terms:

PML= Pre Market Low PMH=

Pre Market High

yHOD= yesterday high of the day yLOD=

yesterday low of the day PDH= previous day high

PDL= previous day low B/H =

break and hold

LOTTO = position size for zero (treat as a lottery ticket) Bull Flag =
Bullish Pattern (continuation)
Bear Flag = Bearish Pattern (continuation)
0DTE = 0 days to expiration

DO WHAT IS BEST FOR YOUR ACCOUNT. Do not wait for a sell order. Manage the trades for what is best for you!

MY CALLOUTS AND HOW TO TRADE THEM

I recommend starting with 1-2 contracts to get down your strategy and confidence. After 50-100 trades and you are profitable you can then size up.

Im looking for a solid 20% per trade. You can also start taking profits as early as 5% but should be waiting more for 10%+.

After 20% you should be selling a majority of our position and holding runners to catch a bigger move.

You will need to figure out what type of stop loss works for you. I personally use levels as stop losses. In saying this once a trade goes green especially while building an account you should move your stoploss to breakeven and never have a green trade go red. NEVER LET YOUR GREEN CANDLE BECOME RED!!!

You can also put a trailing stop as the trade is trending in the direction you bought in.

Some rules i implemented over the time

1. Never go against the market! Trend is your friend
2. Never make a random entry
3. Fear of Missing out! FOMO
4. Wait for the market to come to your setup.
5. Don't choose a higher position or a deep ITM strike if you can't manage it technically and mentally.
6. Once you get the first signal that the market looks like go against your set up, cut the trade immediately.
No second thoughts!
7. Always enter a trade with a stop loss. If the stop loss hits, accept the small initial loss. Don't make the small loss into a big loss by waiting with false hope.
8. Don't be greedy once you hit your target or fear once you hit your stop loss. Be patience.
9. Never over trade.
10. Don't fall in analysis paralysis.
11. Take success and failure as equal. There are many opportunities out there.
12. Never get into a trade with old baggage.

13. Never compare with anyone in trading. Compare only with your previous version alone.
14. Start writing your trading journal right now.
15. Don't choose a script that you're not familiar with or comfortable with.
16. Choose your own strategy and start improving along with back testing and real trades.
17. Meditate (things you like to do and which you missed for sometime) to keep your mental health.
18. There is no such thing as a shortcut for quick success.

BEFORE YOU TRADE

Come PREPARED AND READY everyday at least one hour before the market opens and drink at least one glass of water by the market open.

2. Review levels and trade plans no later than 30 minutes before the market opens.
3. Have what you're trading on screen. Chart, contracts and buy sell option.
4. Be bias free. Have trade plans for each level. Follow price action and what the market gives you. Take your trades with conviction.
5. Journal your trades. Make sure you are keeping track of your progress and improving your strategy.
6. Study charts two hours outside of market hours. The more you prepare your levels and trade plans the more successful you'll be.
7. Never stop learning and always stay hungry!
8. Accept it will take time to become consistently profitable and have fun!

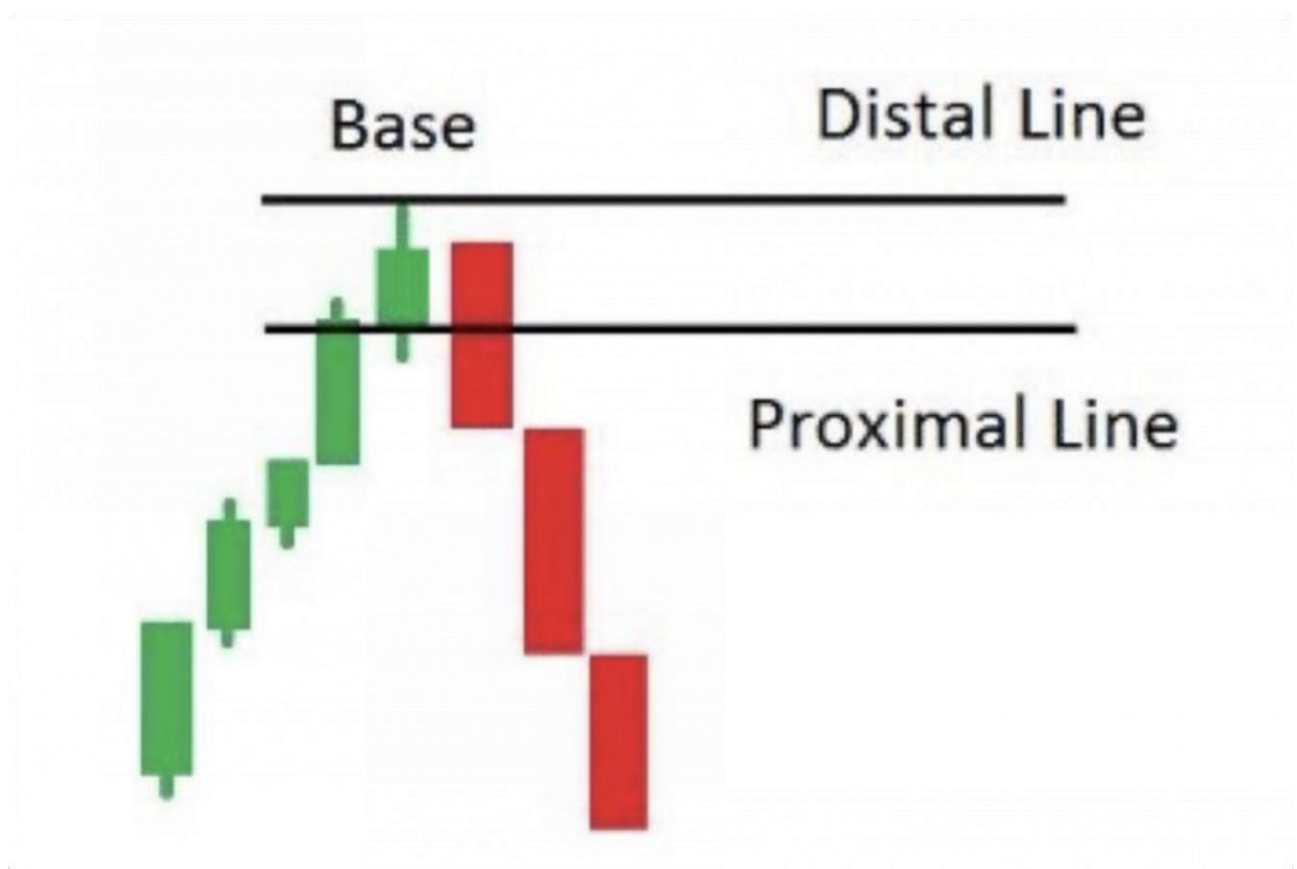
HOW TO DRAW SUPPLY AND DEMAND ZONES?

Things To Know First

Supply zones are either rally-base-drop or drop-base-drop. You can draw it with the three methods described below.

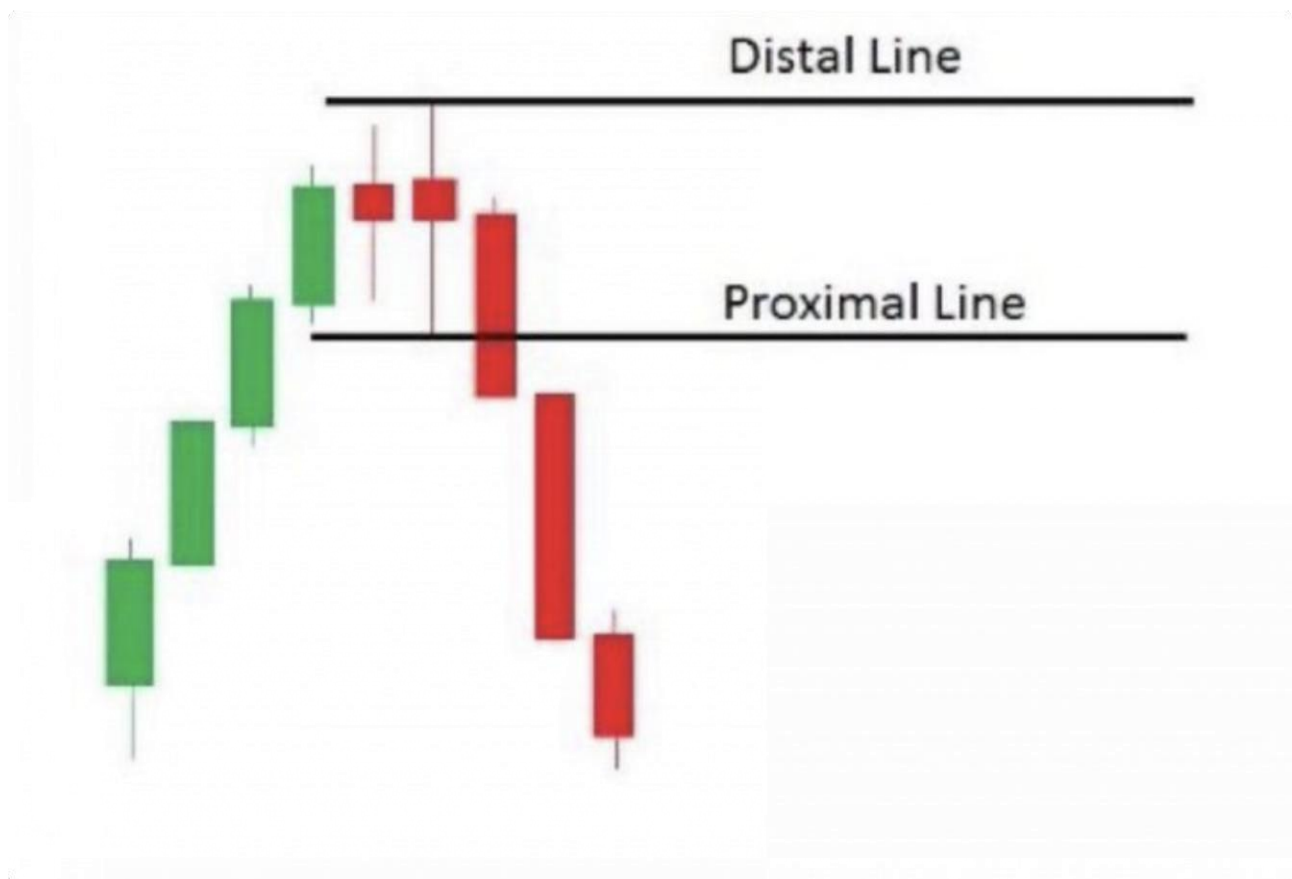
The Conservative Method

In the base structure, the distal line (first line) needs to be placed at the top of the wick and the proximal line (second line) needs to be placed at the lowest body of the base.



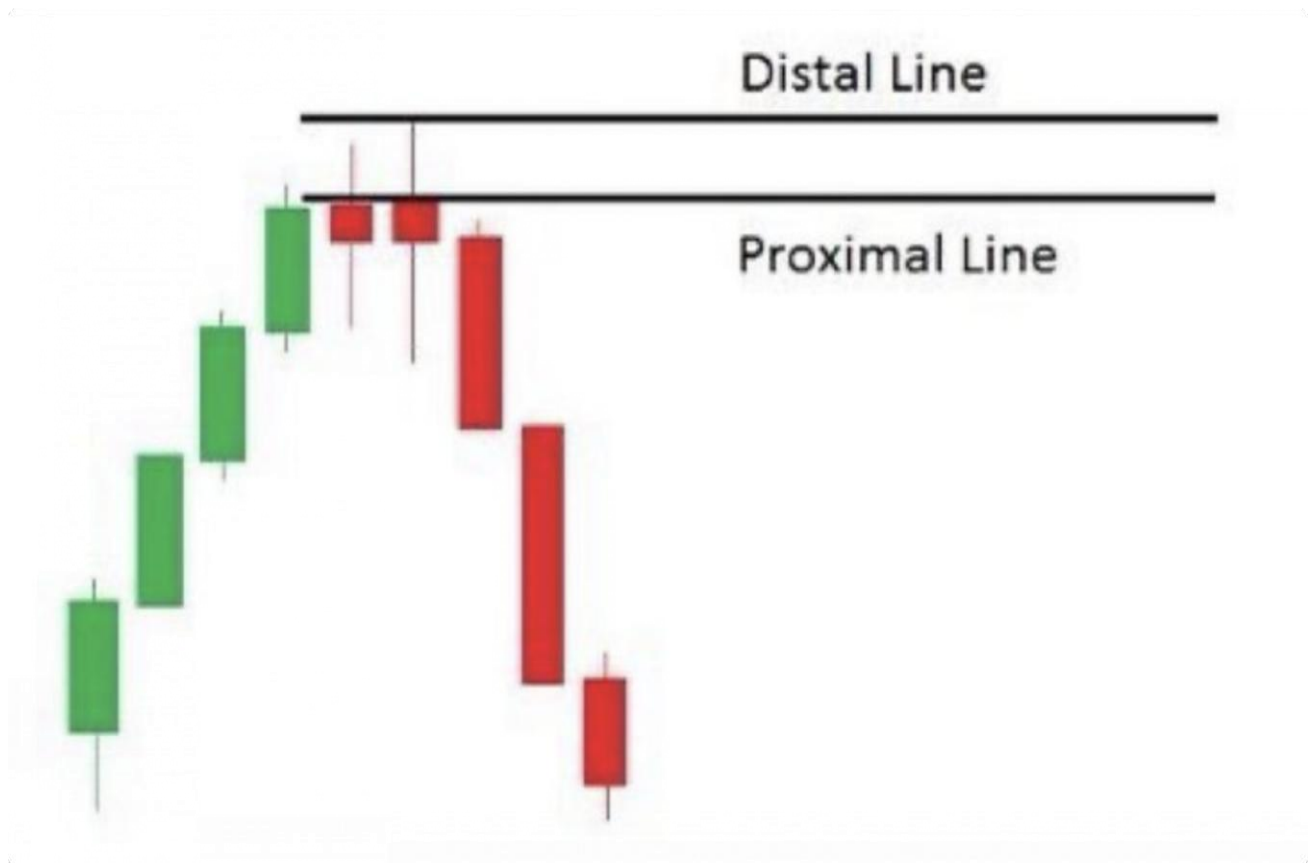
The High-Risk Method

In the base structure, place the distal line at the highest wick and the proximal line at the lowest wick.



The Low-Risk Method

In the base structure, place the distal line at the highest wick and the proximal line at the highest body.

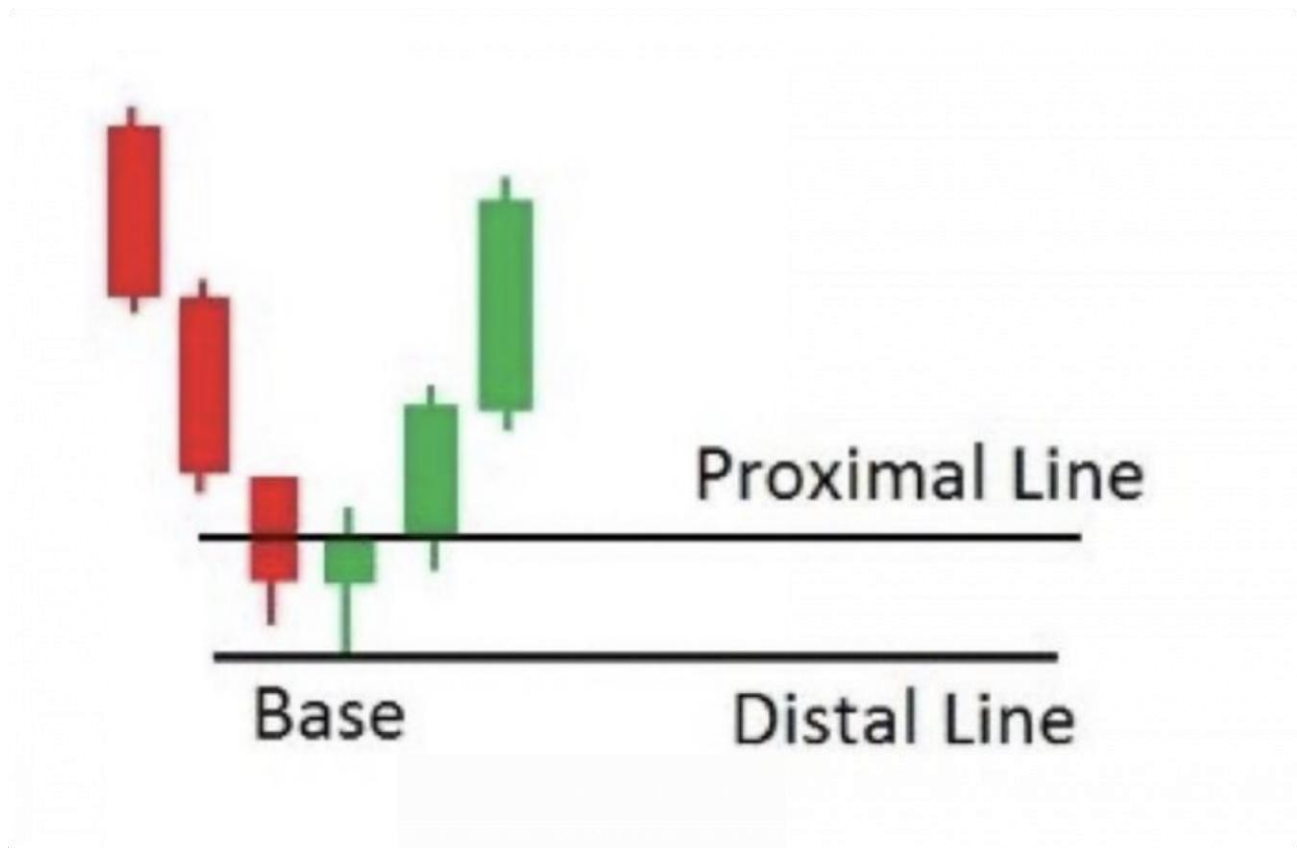


Things To Know

On the other hand, demand zones are either drop-base-rally or rally-base-rally. Like the supply zone, you can draw the demand zone in three methods but in the opposite way you see below

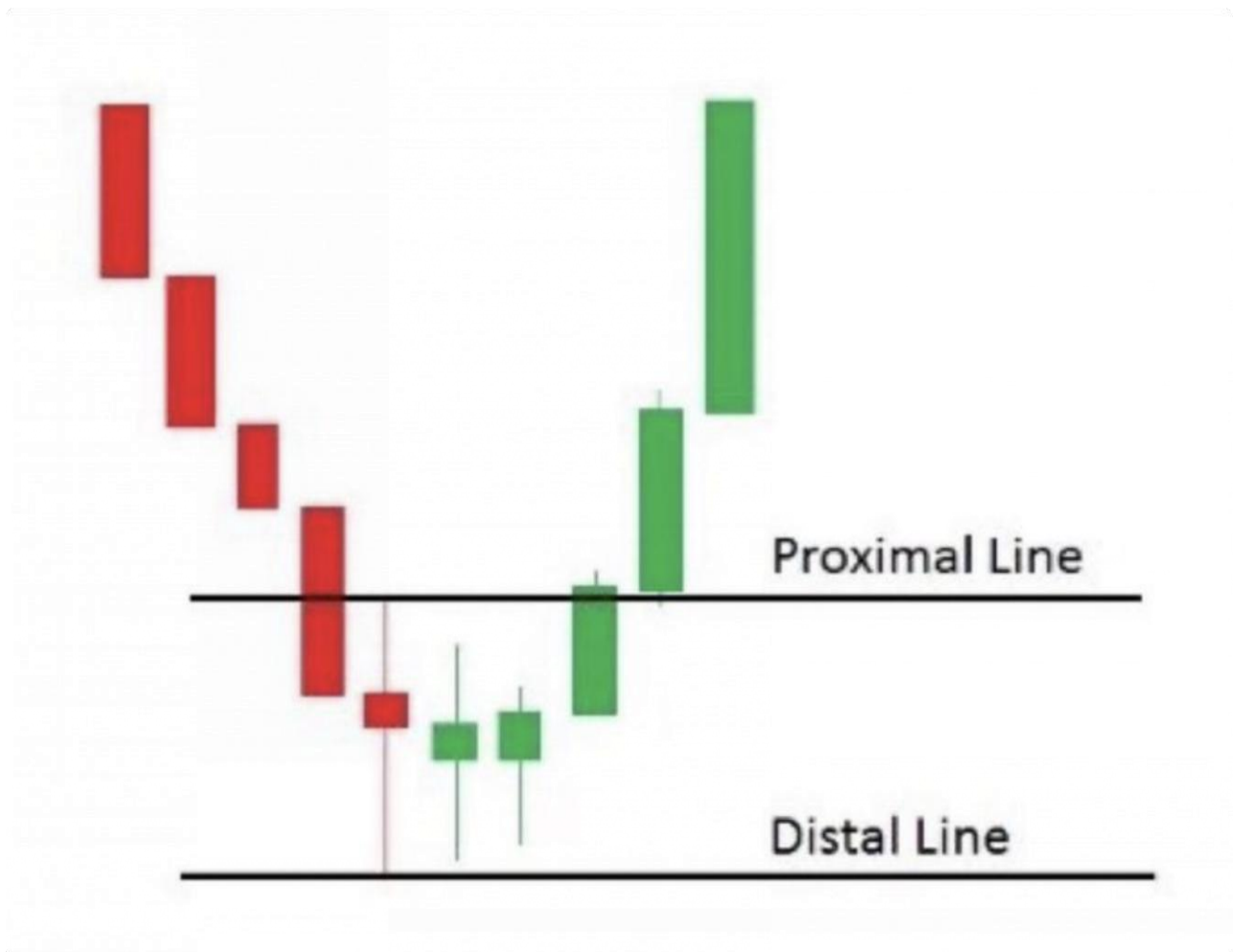
The Conservative Method

In the base structure, the distal line needs to be placed at the lowest wick, and the proximal line should be at the highest body.



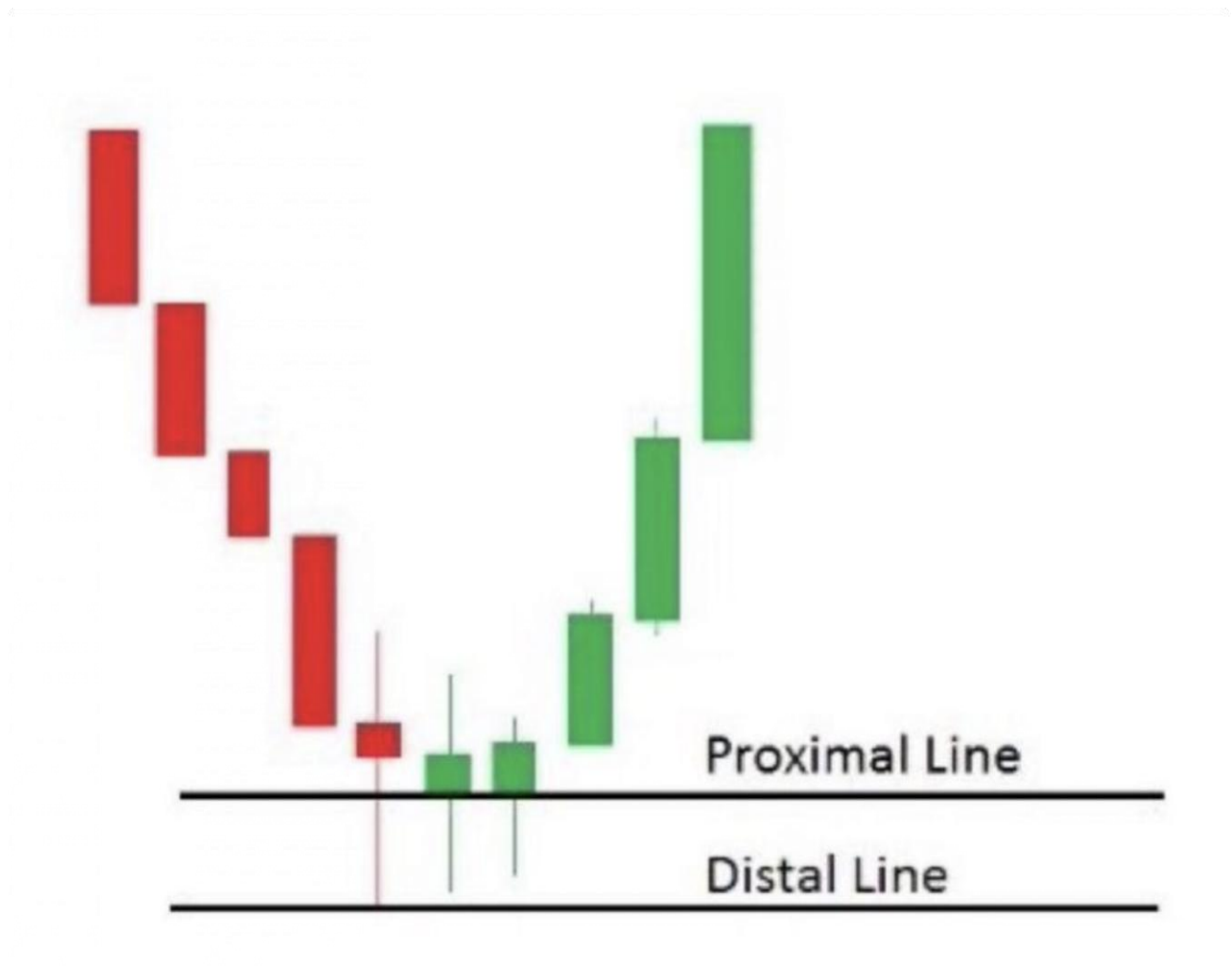
The High-Risk Method

In the base structure, place the distal line at the lowest wick and the proximal line at the highest wick.



The Low-Risk Method

In the base structure, place the distal line at the lowest wick and the proximal line at the lowest body.



What helped me become profitable is understanding **market structure price action** and **liquidity** to enter and exit trades

Here is how to find and read them

1. **MARKET STRUCTURES**

First we need to understand and identify the three market structures

1. Up trend
2. Down trend
3. Consolidation/Range/Sideways

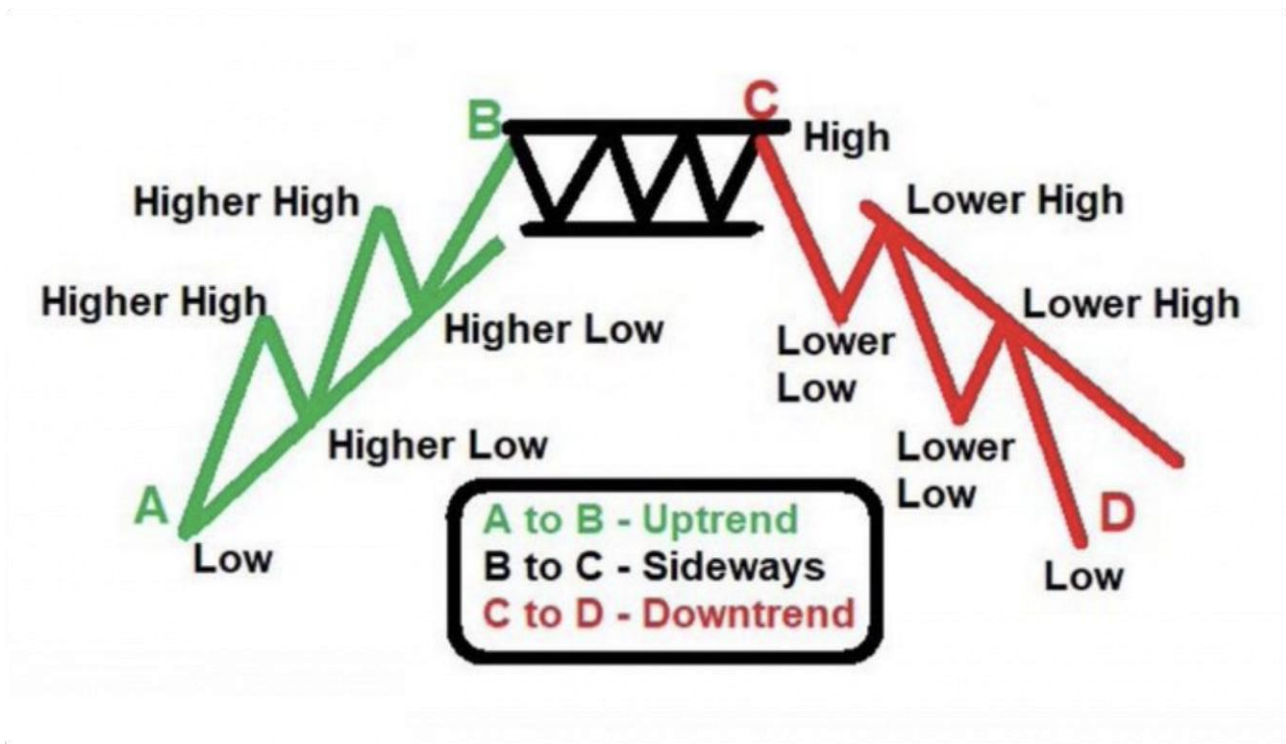


2. IDENTIFYING TRENDS

Uptrends - Are identified by Higher highs and higher lows Downtrends -

Are identified by Lower high and Lower lows

Sideways - Is identified by the lows and highs almost if not equal forming a box



3. TIME FRAMES TO USE

MACRO TRENDS

- ♦ DAILY WEEKLY MONTHLY

MICRO TRENDS

- ♦ 4HR 1HR 30Min 15Min 5Min

Micro trends will help you identify a intraday trend for good entries and exits Macro trends will

help you identify the overall trend to keep you in the trade

TIMEFRAMES CONT.

Don't get stuck on the smaller timeframes like the 5 min

One thing that has helped me find liquidity, not panic sell and swing trades is looking at the higher timeframes

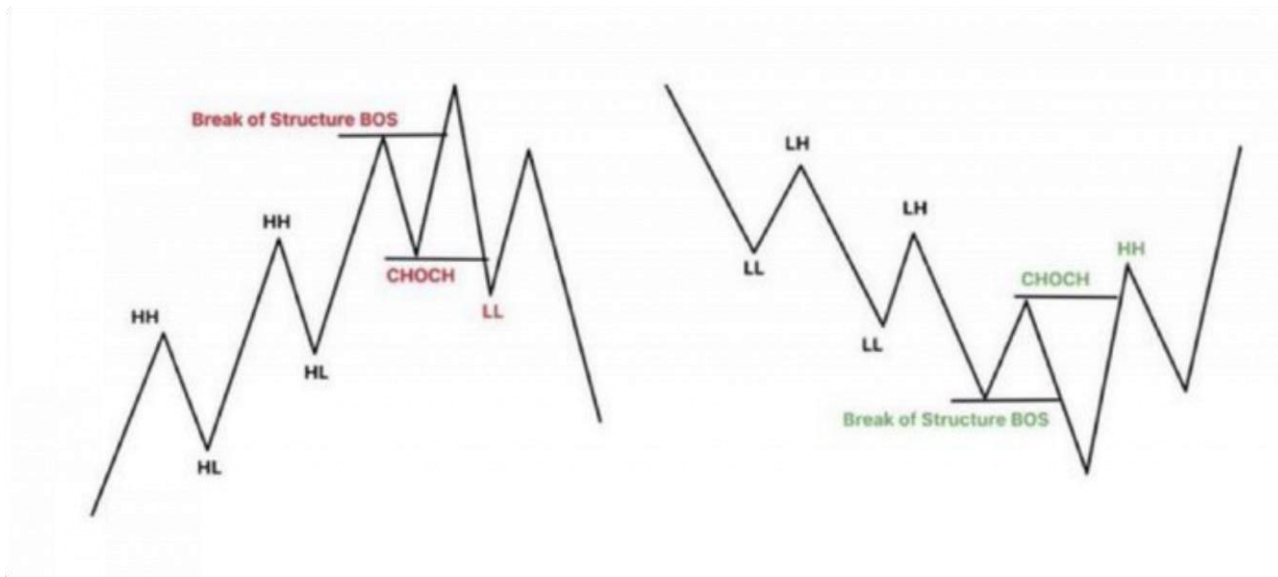
Always zoom out and look at the bigger picture and macro trends

4. BOS VS CHOCH

Now that we have identified how to find trends let's look at how to trade them We have two concepts to know

BOS - Break of Structure CHOCH -

Change of Character

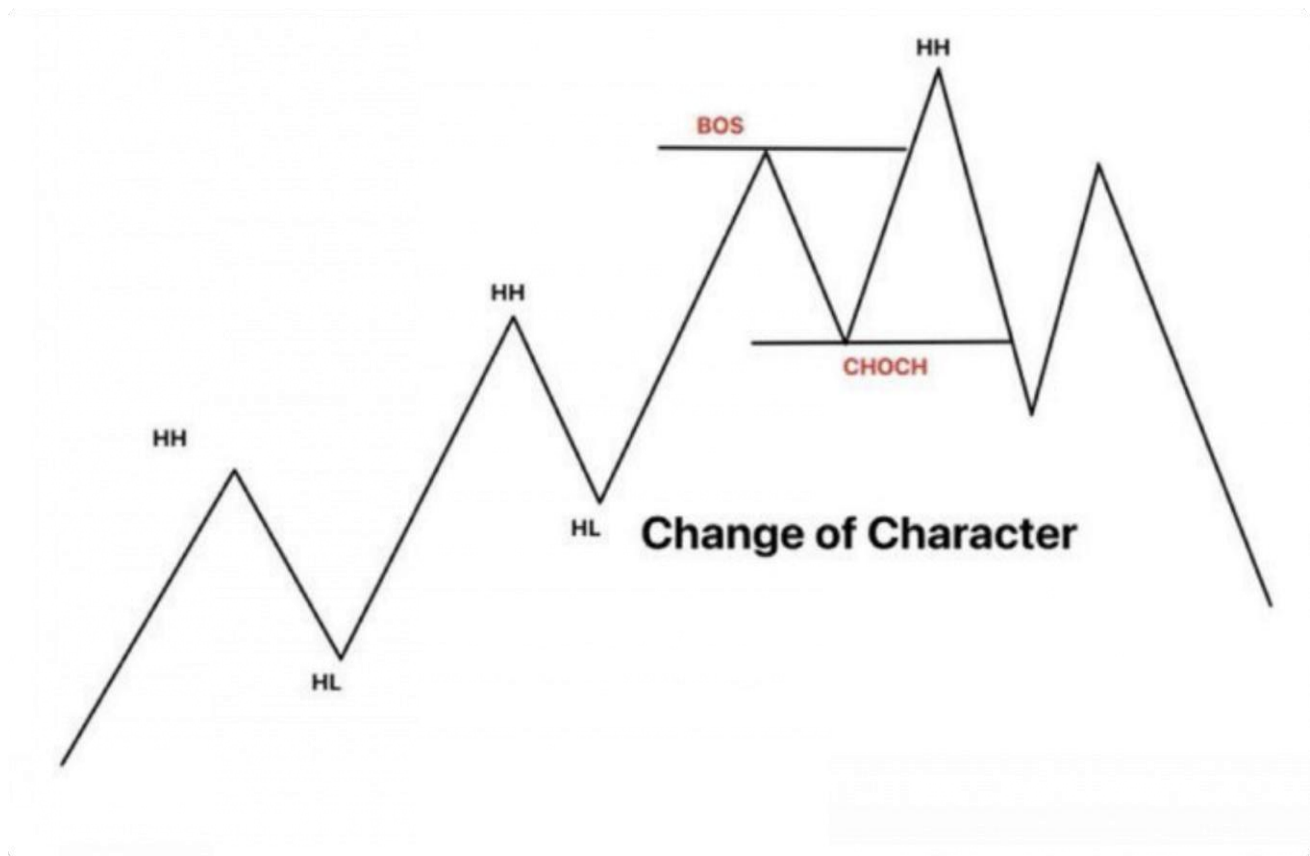


BOS VS CHOCH CONT.

BOS - it means the break of a lower low in the case of a bearish trend, while during the bullish trend, it means the break of a higher high.

CHOCH - Break of lower high or higher low: after the break of structure, the price will reverse to change the trend. Then it will break the recent LHs or HLs. In the case of a bullish trend, the price will break the higher lows, while during a bearish trend, the price will break the lower highs.

Trend change: after the above steps, the price will change its trend. This is known as a **change of character** in the market. For example, if the last character of the market was **bullish**, then it has been changed to bearish.



5. REAL LIFE EXAMPLE

Here is an example of the BOS and CHOC pattern. After a series of bearish trend (LL LH), the price breaks the lower low into a Higher high. This signifies a BOS into a CHOC which should give a trend reversal.



6. HOW TO FIND LIQUIDITY TO TAKE TRADE

Enter a trade: When a Choch pattern forms, mark a supply/demand zone based on the recent trend. Wait for the price to retrace to the zone and then enter trade in the direction of the trend reversal.

Add the stop loss level: Put the stop loss a few points below the demand zone. If it breaks below it would invalidate the trade since it creates a Lower low

Take profit: Exit the trade when a counter-trend choch pattern forms on the chart again.



A+ Setups that has a 90% win rate MADE BT Z.M

This simple strategy will make you a successful trader which used to take calls over 100%

Lets start off first with the EMA's I use The blue

line is 200 EMA

The red line is 48 EMA

The green line is 13 EMA

The orange line is 8 EMA

200 shows long term trend

Above = Bullish Below

= Bearish

13 and 48 Are my pullback/short levels. Pullbacks if above 200 and shorts if below. 48 is my last line of defense

8 is my trend indicator

I am taking my entries on the 2 minute time frame and watching the 8 EMA on the 5, 15 for trend
We had a cross of the 13 over 48. We broke above PMH. This is where levels come into play. If we are above PMH and holding this shows us the highest probability that we continue higher





I took the trade with these confluences : Above the 200, 13/48 cross, Bounced off 48(last defense), and broke and held pre market high as support reclaiming the 13 with a **bull flag**. We then let the trend be our friend and followed the 8 EMA all the way up.

As shown above

You can now follow the 8 EMA trend and hold runners until the trend breaks on the 15 minute

You can now use the method to for A+ setups

To make money trading you need to detach from Fear of

- ♦ losing money
- ♦ Missing out being
- ♦ wrong
- ♦ leaving money on the table

Fear is the only thing holding you back from being successful

Important

This is what I have learned as a full time trader. I didn't understand this when I was young and green, and I also didn't listen to older traders at that moment. But this is really important that you understand that and remember.

1. Risk Management

Full porting and risking most of my account is what I thought would make me the most money. In the end it lost me the most.

Protection of your capital is key in growing your account. REMEMBER: No trade

and No loss is better than trade and a loss.

2. Expectations

Like most say it's a marathon not a race. Expecting to get rich quick will get you losing quick.

Using \$500 and looking for 20% wins nets \$100 a day.

\$100 is \$25k a year raise while you work your 9-5. Once

you're ready to can scale. COMPOUND.

3. Cash Account

As many of you like I, I started with a margin account and quickly found myself in the PDT rule day trading.

Start with a cash account to avoid this and have unlimited day trades with settled funds.

Keeps you from risking more than you can handle. Cash Account

Cont.

Adding on the cash account once you get to \$25k (and you will) you can switch to margin.

Once on margin it will allow you to day trade as much as you want and not have to wait for settled funds.

4. Trading 100 Different Stocks

Trying to trade too many stocks leads to loss of focus, anxiety, feelings of being lost and FOMO

Learn a handful of stocks, how they trade and stick to them.

My favorites are \$AMD \$AAPL \$MSFT \$AMZN \$NVDA \$SPY and \$QQQ to name a few

5. Patience

BE PATIENT & STAY DISCIPLINED

The market gives you an endless amount of opportunities everyday

Waiting for a great setup and staying patient for it is a MUST if you want to be a consistent and successful trader.

6. Not Trading Everyday

Trading is hard and stressful and wears on your mental health. On top of that there isn't always a great setup for your style.

Taking breaks is necessary to trade with the brain power and decision making needed.

Slow down and take those breaks.

7. Building A Small Account

I use the 20% rule and start with \$2,500

\$2,500 broken down by 20% is

5 x \$500

Use \$500 per trade and look for 20% gain which equals \$100 Compounding wins is key

to building a small account not full porting

8. Emotions

Before taking a trade you need to know exactly how you're going to enter, do after you enter and exit.

Knowing the above allows you to trade like a robot.

Big wins cause emotions so don't trade until the euphoria is gone. Same with losses.

POSITION SIZING GUIDE

Want to break this down to help you. I would be very strict in sticking to this guide and rules.

FIRST TRADE OF EVERYDAY

The lightest sizing you will do. The first trade is a warmup trade. It is never meant to go heavy or oversize on. It is always extremely light.

FIRST TRADE + WITHIN FIRST HOUR OF OPEN

As well as sizing extremely light for the first trade of the day, taking a trade within the first hour IS NOT FOR SMALL ACCOUNTS AND IS ALWAYS CONSIDERED HIGH RISK. This is because no trend has formed yet .

MONDAY AND FRIDAY

Both Monday and Fridays are extremely light trading.

Monday -> because you just are now getting back into trading after a weekend so you need to "warmup" back into it.

Friday -> because you have been trading/working all week and you are burnt out. Your mental battery is drained and decision making is not at full capacity.

TUESDAY WEDNESDAY THURSDAY

The golden zone of trading. These days are typically primed not only in the markets for nice moves but also you are now warmed up and ready to possibly size a little heavier. This doesn't mean you have to. Always sticking to the best risk management for your account is key. But these are the days that tend to work better for any bigger size. As well as AFTER the first hour of trading.

What I have learned in the past 17 years in short

1. Fundamentals don't matter in day trading
2. A technical analysis is only astrology for men
3. Your trading technology doesn't matter if you can't control your emotions
4. The more you trade the more you lose
5. Risk management is more important than your exit and entry
6. The market really doesn't care about your opinion and your predictions
7. Your biggest enemy in trading is you
8. Over trading is the fastest way to lose everything
9. Patience is your most valuable asset
10. Chasing losses is gamblers mentality, not traders mentality
11. The market is always right
12. Don't come with diversification. It's just an excuse for not knowing what you are doing
13. Doing nothing in trading is most often the best move
14. Trading makes you a better person

YOU

It's the quiet, brutal middle: between understanding the charts and understanding yourself.

You're no longer a beginner, but you're not consistent yet either.

You can read price action, spot structure shifts, even call out clean setups in hindsight.

But when it's time to execute, something breaks.

You hesitate when you should act.

You act when you should wait.

You trade well for a week, then spiral the next.

This is the phase where trading stops being about knowledge and starts being about control.

You already know what to do, but you can't get yourself to do it.

That disconnect is what destroys most traders.

They start looking for new strategies, new indicators, new mentors.

But the truth is: you don't need more tools. You need more proof.

Proof that your process works. Proof that your plan holds.

Proof that your edge exists beyond one lucky week.

Because real conviction doesn't come from confidence - it comes from data.

You earn it by journaling every trade, spotting what repeats, and eliminating what doesn't.

You earn it by backtesting your setups until your belief is unshakable.

You earn it by tracking your behavior, not just your PnL.

Every trader goes through this phase: the one where results don't match effort.

Where you feel stuck, frustrated, almost ready to quit.

But this is where the shift happens.

Where you stop chasing the market and start mastering yourself.

Where you realize trading isn't about finding certainty, it's about thriving without it.

If you're in this phase, don't rush out of it.

Use it. Study it. Build from it.

Because on the other side isn't just profitability — it's peace.

The kind that comes from finally knowing why you win, not just when.